

HOUSING FINANCE

Head Office: Rehani House, Koinange/ Kenyatta Avenue St. P.O.Box 30088, 00100 - Nairobi, Kenya.

Tel: (+254 20) 317474,3262000 Fax: (+254 20) 340299, E-Mail: housing@housing.co.ke.

Website: <http://www.housing.co.ke>



Housing
Finance

Turning dreams into homes

UNAUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 30 SEPTEMBER 2011

I STATEMENT OF FINANCIAL POSITION	GROUP					COMPANY				
	30.09.2010	31.12.2010	31.03.2011	30.06.2011	30.09.2011	30.09.2010	31.12.2010	31.03.2011	30.06.2011	30.09.2011
	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)
A. ASSETS										
1 Cash balances	116,943	101,224	130,043	108,059	131,235	116,943	101,224	130,043	108,059	131,235
2 Balances due from Central Bank of Kenya	-	-	-	-	-	-	-	-	-	-
3 Government securities	503,764	539,835	535,309	539,679	517,374	503,764	539,835	535,309	539,679	517,374
4 Foreign Currency Treasury bills and bonds	-	-	-	-	-	-	-	-	-	-
5 Deposits and balances due from banking institutions	5,102,541	8,185,432	8,226,708	7,548,683	7,576,212	5,102,541	8,185,419	8,226,708	7,548,683	7,576,040
6 Deposits and balances due from banking institutions abroad	-	-	-	-	-	-	-	-	-	-
7 Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-
8 Tax recoverable	21,405	-	-	16,763	-	-	-	-	-	-
9 Loans and advances to customers (net)	18,359,878	19,503,400	20,365,783	21,535,410	22,894,799	18,359,878	19,503,400	20,365,783	21,535,410	22,894,799
10 Investment securities	-	-	-	-	90,000	-	-	-	-	90,000
11 Balances due from group companies	-	-	-	-	-	-	-	-	-	-
12 Investment in associates	-	-	-	-	-	-	-	-	-	-
13 Investment in subsidiary companies	-	-	-	-	-	130,020	130,020	130,020	130,020	130,020
14 Investment in Joint ventures	-	-	-	-	-	-	-	-	-	-
15 Investment properties	-	-	-	-	-	-	-	-	-	-
16 Property and equipment	602,439	600,417	616,384	681,224	692,003	596,344	594,341	610,327	675,186	685,992
17 Prepaid operating lease rentals	48,775	48,615	48,454	48,294	48,133	41,825	41,710	41,595	41,480	41,364
18 Intangible assets	2,472	3,085	2,423	9,378	8,467	2,453	3,068	2,409	9,367	8,458
19 Deferred tax asset	73,868	76,050	76,052	76,050	76,050	18,761	23,006	23,006	23,006	23,006
20 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-
21 Other assets	125,943	220,338	223,225	248,108	216,137	108,920	203,818	206,654	231,631	199,411
22 TOTAL ASSETS	24,958,028	29,278,396	30,224,381	30,811,648	32,250,410	24,981,449	29,325,841	30,271,854	30,842,521	32,297,699
B. LIABILITIES										
23 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-	-	-
24 Customer deposits	18,529,193	15,943,341	16,627,735	17,491,580	18,654,418	18,530,526	15,945,317	16,629,960	17,493,834	18,656,672
25 Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-	-	-
26 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-	-	-
27 Other money market deposits	-	-	-	-	-	-	-	-	-	-
28 Borrowed funds	1,925,963	8,604,269	8,525,178	8,244,644	8,162,399	1,925,963	8,604,269	8,525,178	8,244,644	8,162,399
29 Balances due to group companies	-	-	-	-	-	14,958	14,958	14,958	14,958	14,958
30 Tax payable	-	26,337	77,754	-	1,205	2,698	50,441	101,858	7,341	25,309
31 Dividends payable	80,500	-	-	195,500	115,000	80,500	-	-	195,500	115,000
32 Deferred tax liability	-	-	-	-	-	-	-	-	-	-
33 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-
34 Other liabilities	294,375	447,042	616,183	502,249	777,180	288,488	441,326	610,437	496,665	771,427
35 TOTAL LIABILITIES	20,830,031	25,020,989	25,846,850	26,433,973	27,710,202	20,843,133	25,056,311	25,882,391	26,452,942	27,745,765
C. SHAREHOLDERS' FUNDS										
36 Paid up capital	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000
37 Share premium	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173
38 Revaluation reserve	449,202	449,202	449,202	523,130	520,030	449,202	449,202	449,202	523,130	520,030
39 Retained earnings	380,586	475,040	629,354	683,182	904,263	390,905	487,163	641,286	695,086	915,989
40 Statutory Loan Loss Reserve	548,286	502,742	468,552	421,440	365,992	548,286	502,742	468,552	421,440	365,992
41 Proposed dividends	-	80,500	80,500	-	-	-	80,500	80,500	-	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	4,127,997	4,257,407	4,377,531	4,377,675	4,540,208	4,138,316	4,269,530	4,389,463	4,389,579	4,551,934
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	24,958,028	29,278,396	30,224,381	30,811,648	32,250,410	24,981,449	29,325,841	30,271,854	30,842,521	32,297,699

II STATEMENT OF COMPREHENSIVE INCOME	GROUP				COMPANY					
	30.09.2010	31.12.2010	31.03.2011	30.06.2011	30.09.2011	30.09.2010	31.12.2010	31.03.2011	30.06.2011	30.09.2011
	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)
1 INTEREST INCOME										
1.1 Loans and advances	1,598,758	2,221,791	651,441	1,345,100	2,078,971	1,598,758	2,221,791	651,441	1,345,100	2,078,971
1.2 Government Securities	26,822	35,222	8,323	16,667	25,221	26,822	35,222	8,323	16,667	25,221
1.3 Deposits and Placements with banking institutions	149,769	218,801	95,917	191,799	340,120	149,769	218,802	95,917	191,799	340,120
1.4 Other interest income	-	-	-	-	-	-	-	-	-	-
1.5 Total Interest income	1,775,349	2,475,814	755,681	1,553,566	2,444,312	1,775,349	2,475,815	755,681	1,553,566	2,444,312
2 INTEREST EXPENSES										
2.1 Customers' Deposits	616,689	793,444	150,158	312,780	532,315	616,711	793,472	150,167	312,807	532,354
2.2 Deposits and placements from banking institutions	-	-	-	-	-	-	-	-	-	-
2.3 Other interest expenses	120,468	281,382	170,891	344,504	522,958	120,468	281,381	170,891	344,504	522,958
2.4 Total Interest expenses	737,157	1,074,826	321,049	657,284	1,055,273	737,179	1,074,853	321,058	657,311	1,055,312
3 NET INTEREST INCOME	1,038,192	1,400,988	434,632	896,282	1,389,039	1,038,170	1,400,962	434,623	896,255	1,389,000
4 OTHER OPERATING INCOME										
4.1 Fees and commissions on loans and advances	69,838	103,294	31,740	71,059	116,534	69,838	103,294	31,740	71,059	116,534
4.2 Other fees and commissions	49,494	65,185	15,145	30,716	45,148	49,494	64,688	15,092	30,716	45,148
4.3 Foreign exchange trading income	-	-	-	-	-	-	-	-	-	-
4.4 Dividend income	-	-	-	-	-	-	-	-	-	-
4.5 Other income	67,491	85,717	16,284	38,759	69,876	66,186	84,474	15,902	37,931	68,613
4.5 Total Non interest income	186,823	254,196	63,169	140,534	231,558	185,518	252,456	62,734	139,706	230,295
5 TOTAL OPERATING INCOME	1,225,015	1,655,184	497,801	1,036,816	1,620,597	1,223,688	1,653,418	497,357	1,035,961	1,619,295
6 OPERATING EXPENSES										
6.1 Loan loss provision	177,927	238,445	75,516	150,078	223,762	177,927	238,445	75,516	150,078	223,762
6.2 Staff costs	363,859	489,608	134,301	280,303	429,519	364,461	489,511	134,283	280,144	429,326
6.3 Directors emoluments	7,829	11,222	3,771	7,612	12,627	7,829	11,222	3,771	7,612	12,627
6.4 Rental charges	9,925	13,131	3,078	7,011	9,917	9,770	12,925	3,016	6,949	9,862
6.5 Depreciation on property and equipment	25,794	41,352	10,341	21,471	33,946	25,794	41,277	10,341	21,471	33,946
6.6 Amortisation charges	7,852	3,362	840	1,696	2,852	7,653	3,171	773	1,629	2,653
6.7 Other operating expenses	279,205	297,036	98,376	223,254	326,041	278,165	296,632	98,270	222,905	325,582
6.8 Total Other Operating Expenses	872,391	1,094,156	326,223	691,425	1,038,664	871,599	1,093,183	325,970	690,788	1,037,758
7 Profit before tax and exceptional items	352,624	561,028	171,578	345,391	581,933	352,089	560,235	171,387	345,173	581,537
8 Exceptional items	-	-	-	-	-	-	-	-	-	-
9 Profit before tax but after exceptional items	352,624	561,028	171,578	345,391	581,933	352,089	560,235	171,387	345,173	581,537
10 Current tax	(105,627)	(186,803)	(51,454)	(103,552)	(174,461)	(105,627)	(186,803)	(51,454)	(103,552)	(174,461)
11 Deferred Tax	3,123	5,306	-	-	3,123	7,368	-	-	-	-
12 Profit After Tax and exceptional items	250,120	379,531	120,124	241,839	407,472	249,585	380,800	119,933	241,621	407,076
Earnings per share	1.45	1.65	2.09	2.10	2.36	1.45	1.66	2.09	2.10	2.36
Dividend per share	-	0.70	-	0.50	-	-	0.70	-	0.50	-

III DISCLOSURES	GROUP					COMPANY				
	30.09.2010	31.12.2010	31.03.2011	30.06.2011	30.09.2011	30.09.2010	31.12.2010	31.03.2011	30.06.2011	30.09.2011
	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)
1 Non-Performing Loans and Advances										
a) Gross non-performing loans and advances	1,600,248	1,467,815	1,674,893	1,642,327	1,570,293	1,600,248	1,467,815	1,674,893	1,642,327	1,570,293
b) Less: Interest in Suspense	407,794	283,632	272,846	260,477	255,658	407,794	283,632	272,846	260,477	255,658
c) Total non-Performing loans and advances (a-b)	1,192,454	1,184,183	1,402,047	1,381,850	1,314,635	1,192,454	1,184,183	1,402,047	1,381,850	1,314,635
d) Less: Loan loss provisions	494,205	439,916	470,663	475,287	459,930	494,205	439,916	470,663	475,287	459,930
e) Net non-performing loans and advances(c-d)	698,249	744,267	931,384	906,563	854,705	698,249	744,267	931,384	906,563	854,705
f) Discounted value of securities	698,249	744,267	931,384	906,563	854,705	698,249	744,267	931,384	906,563	854,705
g) Net Exposure(e-f)	-	-	-	-	-	-	-	-	-	-
2 Insider loans and advances										
a) Directors, shareholders and associates										
b) Employees	401,352	459,860	480,908	494,513	568,391	401,352	459,860	480,908	494,513	568,391
c) Total Insider Loans and Advances	401,352	459,860	480,908	494,513	568,391	401,352	459,860	480,908	494,513	568,391
3 Off-Balance Sheet items										
a) Letters of credit, guarantees and acceptances	1,033	1,033	1,033	1,033	1,033	1,033	1,033	1,033	1,033	1,033
b) Other contingent liabilities	-	-	-	-	-	-	-	-	-	-
c) Total contingent liabilities	1,033	1,033	1,033	1,033	1,033	1,033	1,033	1,033	1,033	1,033
4 Capital Strength										
a) Core capital						2,966,847	3,186,337	3,280,473	3,273,448	3,411,624
b) Minimum Statutory Capital						350,000	500,000	500,000	500,000	500,000
c) Excess/Deficiency						2,616,847	2,686,337	2,780,473	2,773,448	2,911,624
d) Supplementary capital						310,379	3,186,337	3,280,473	3,273,448	2,020,486
e) Total capital (a+d)						3,277,226	6,372,674	6,560,946	6,546,896	5,432,110
f) Total risk weighted assets						11,786,248	13,077,391	13,613,969	14,131,282	16,189,858
g) Core capital /Total deposit liabilities						16.01%	19.98%	19.73%	18.71%	18.29%
h) Minimum Statutory Ratio						8.00%	8.00%	8.00%	8.00%	8.00%
i) Excess/Deficiency						8.01%	11.98%	11.73%	10.71%	10.29%
j) Core capital /Total risk weighted assets						25.17%	24.37%	24.10%	23.16%	21.07%
k) Minimum Statutory Ratio						8.00%	8.00%	8.00%	8.00%	8.00%
l) Excess/Deficiency (j-k)						17.17%	16.37%	16.10%	15.16%	13.07%
m) Total capital /Total risk weighted assets						27.81%	48.73%	48.19%	46.33%	33.55%
n) Minimum Statutory Ratio						12.00%	12.00%	12.00%	12.00%	12.00%
o) Excess/Deficiency (m-n)						15.81%	36.73%	36.19%	34.33%	21.55%
5 Liquidity										
a) Liquidity Ratio						30.70%	55.73%	53.30%	46.40%	42.50%
b) Minimum Statutory Ratio						20.00%	20.00%	20.00%	20.00%	20.00%
c) Excess(Deficiency) (a-b)						10.70%	35.73%	33.30%	26.40%	22.50%